3. INCOME TAXES

We file a consolidated United States federal income tax return which includes all of our domestic operations. Our domestic subsidiaries also file income tax returns based on our operations in certain state and local jurisdictions. We file separate tax returns for each of our foreign subsidiaries in the countries in which they operate.

In December 2017, the Tax Cuts and Jobs Act ("the Act" or "TCJA") was enacted. The Act includes significant changes to the U.S. corporate tax system, including (i) a reduction in the corporate income tax rate from 35% to 21%, (ii) transitioning from a worldwide basis of taxation to a modified territorial tax system, creating a new tax on certain foreign tax earnings (iii) imposing a one-time transition tax on deemed repatriated earnings of certain foreign subsidiaries, and (iv) repealing the alternative minimum tax ("AMT").

Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to reverse. As a result of the reduction in the U.S. corporate income tax rate from 35% to 21% under the Act, the Company revalued its ending net deferred tax assets and liabilities at September 28, 2018 and adjusted its valuation allowance for a corresponding amount.

The Act provided for a one-time transition tax on the deemed repatriation of all previously untaxed post-1986 undistributed foreign subsidiary earnings and profits ("E&P"). The Act allows for partial participation exemption deductions against the foreign earnings depending on the nature of assets held in the foreign subsidiary group such that foreign earnings held in the form of cash and cash equivalents are taxed at an effective rate of 15.5% and the remaining earnings are taxed at an effective rate of 8%. The one-time transition tax resulted in an inclusion of $3.1 million. The Company has sufficient U.S. operating loss carryforwards and foreign tax credits satisfy the liability resulting in no tax expense. The Company recorded no tax expense related to its one-time deemed repatriation net inclusion due to the current year tax loss, net operating losses and foreign tax credits offsetting any tax liability. These amounts are presented as provisional while the Company continues to review the balance of foreign earnings required to be included under section 965(a) of the Internal Revenue Code.

Before the Act, the Company recorded an anticipated liability for repatriation of certain foreign subsidiary earnings (net of foreign tax credits) of $6.6 million. As a result of the transition tax and modified territorial system rules in the Act, the Company will now be in a position to distribute cash from its various foreign subsidiaries without incremental US federal taxation. As such, the Company has reversed the corresponding liability. The Company, however, has not changed its overall permanent reinvestment assertion. The Act repealed AMT and allowed for AMT credits carried forward to be utilized and any remaining amount refunded. The Company recognized a deferred tax benefit of $189 related to the refundable AMT credits. Before the Act the Company had a deferred tax asset of $189, related to the valuation allowance released on the refundable AMT credits, which was fully valued against. The Company has included in its taxable income the provisional impact related to the one-time transition tax, the repeal of the AMT credit, and the revaluation of deferred tax balances and included these estimates in its consolidated financial statements for the year ended September 28, 2018. These amounts are presented as provisional, while the Company continues to review the impacts of the Act. The Company is in the process of analyzing the impact of the various provisions of the Act. The ultimate impact may materially differ from these provisional amounts due to, among other things, additional analysis, changes in interpretations and assumptions the Company has made, additional regulatory guidance that may be issued, and actions the Company may take as a result of the Act. The Company expects to complete its analysis within the measurement period (not to extend beyond one year of the enactment date).

For the year ended September 2018, the income tax expense computed at the U.S. federal income tax rate of 24.6% differs from the effective tax rate of (6.9)%, primarily due to the revaluation of the net deferred tax assets and valuation allowance to account for the change in the U.S. corporate tax rate and the reversal of the tax liability on foreign undistributed earnings resulting from the change in tax law under the Act resulting in a 20.6% and 8.7% impact to the rate, respectively. The impact of the enactment of the Act is reflected in the tables below.

Loss before provision for income taxes consists of the following:

	Fiscal Year Ended	
	September 28, 2018	September 29, 2017
Domestic	$ (2,214)	$ (1,335)
Foreign	288	(328)
Total	$ (1,926)	$ (1,663)

The provision for income taxes consists of the following:

	Fiscal Year Ended	
	September 28, 2018	September 29, 2017
Current tax provision:		
State	$ 39	$ 113
Foreign	305	414
	344	527
Deferred tax provision (benefit):		
U.S. Federal	4	50
Impact of TCJA	(189)	0
Foreign	(26)	(103)
	(211)	(53)
Provision for income taxes	$ 133	$ 474

The following is a reconciliation of the provision for income taxes to the United States federal statutory tax rate:

	Fiscal Year Ended			
	September 28, 2018	Effective Tax rate %	September 29, 2017	Effective Tax rate %
Income taxes at the U.S. statutory rate	$ (473)	24.6%	$ (582)	35.0%
Equity compensation	22	(1.1)	16	(0.9)
Subpart F	43	(2.2)	38	(2.3)
Sec 956 inclusion	0	0.0	191	(11.5)
Other permanent differences	839	(43.6)	267	(16.1)
Effects of foreign taxes and tax credits	(149)	7.7	47	(2.9)
State income taxes	125	(6.5)	73	(4.4)
Uncertain tax positions	280	(14.5)	343	(20.6)
Change in valuation allowance	(2,244)	116.5	349	(21.0)
Change in rate	6	(0.3)	(249)	15.0
Impact of 2017 Tax Cuts and Jobs Act	2,432	(126.3)	0	0.0
True-Up	(650)	33.7	(15)	0.9
Other	(98)	5.1	(4)	0.3
Total provision for income taxes	$ 133	(6.9)%	$ 474	(28.5)%

Other permanent differences mainly relate to equity compensation, meals and entertainment, and foreign permanent items.

Significant management judgment is required in determining our provision for income taxes and in determining whether any deferred tax assets will be realized in full or in part. When it is more likely than not that all or some portion of specific deferred tax assets such as net operating losses or foreign tax credit carry-forwards will not be realized, a valuation allowance must be

established for the amount of the deferred tax assets that would not be realized. Realization will be based on our ability to generate sufficient future taxable income. In fiscal year 2012, we established a valuation allowance against our deferred tax assets in the United States due to current year and projected future pre-tax book losses. We continued to maintain this valuation allowance throughout fiscal years 2017 and 2016. As of September 28, 2018, and September 29, 2017, we have net operating loss carryforwards to utilize in the U.S. of $27,473 and $20,294, respectively. Under the provisions of Internal Revenue Code section 382, certain substantial changes in the Company's ownership may result in a limitation of the amount of U.S. net operating loss carryforwards that could be utilized annually to offset future taxable income and taxes payable. Due to the Purchase Agreement entered on June 29, 2018, a portion of the Company's net operating loss carryforwards are subject to an annual limitation under section 382. The Company does not expect this limitation to impact its ability to utilize all of its net operating losses prior to their expiration. Additionally, we have $253 and $132 foreign tax credit carryforwards for tax return purposes as of September 28, 2018 and September 29, 2017, respectively. The U.S. net operating loss and foreign tax credit carryforwards are scheduled to begin to expire in 2031 and 2020, respectively.

Deferred income tax assets and liabilities consist of the following:

	Fiscal Year Ended	
	September 28, 2018	September 29, 2017
Domestic operations:		
Deferred tax assets:		
Deferred facilities rent charges	$ 1,464	$ 2,544
Deferred revenue	338	579
Foreign tax credit carryforwards	253	132
Alternative minimum tax credit carryforwards	0	189
Accrued vacation	279	344
Equity compensation	59	83
Depreciation and amortization	99	1,986
Net operating loss	7,464	8,446
Capital loss	55	83
Allowance for bad debt	131	307
Related party payables and Subpart F	505	541
Other	0	140
Deferred tax liabilities:		
Prepaid expenses and other	(129)	(111)
Undistributed earnings of foreign subsidiaries	(70)	(2,378)
Domestic net deferred tax assets	10,448	12,885
Foreign operations:		
Deferred tax assets:		
Depreciation and other	518	505
Deferred tax liabilities:		
Depreciation and other	(48)	(52)
Foreign net deferred tax assets	470	453
Domestic and foreign deferred tax assets	10,918	13,338
Valuation allowances	(10,519)	(12,951)
Net deferred tax assets	$ 399	$ 387

We recognize interest and penalties related to unrecognized tax benefits as a component of income tax expense. For fiscal year 2018, we recognized an expense of $107 attributable to interest for uncertain tax positions related to transfer pricing and interest accrued. As of September 28, 2018, and September 29, 2017, we had $944 and $843 accrued, respectively, for interest and penalties for uncertain tax positions. As of September 28, 2018, $1,616 of our total unrecognized tax benefits would favorably affect our effective tax rate if recognized. We do not believe it is reasonably possible that the amount of unrecognized tax benefits will significantly change within the next 12 months due to changes in circumstances other than related to these intercompany

transactions. We file income tax returns in the United States and various state, local, and foreign jurisdictions, and remain subject to examinations by these jurisdictions for fiscal years 2011 through 2017.

The aggregate change in the balance of gross unrecognized tax benefits, which excludes interest and penalties, is as follows:

	Fiscal Year Ended	
	September 28, 2018	September 29, 2017
Balance, beginning of year	$ 1,009	$ 713
Increases related to tax positions taken during the current period	147	296
Balance end of year	$ 1,156	$ 1,009

The Company has deemed to have repatriated the unremitted earnings from the foreign subsidiaries to the United States as a result of the Tax Cuts and Jobs Act which then became taxable to the Company. As of September 28, 2018, and September 29, 2017 the Company recorded a deferred tax liability for U.S. federal income of $0 and $2,312 and foreign withholding taxes of $70 and $66, respectively. This is related to approximately $0 and $6,606 of its international subsidiaries' undistributed earnings as of September 28, 2018 and September 29, 2017, respectively. The deferred tax liability for the undistributed earnings as of September 28, 2018 were reversed due to the Company repatriating all the unremitted earnings from the foreign subsidiaries.